

lc 14 test 2

Q 1. Insurer ABC has received reinsurance business of Rs. 50 crores from insurer XYZ. Insurer XYZ incurs a claim for Rs. 10 crores on the re-insured policies, but the same has not yet been reported. How the reinsurer ABC will show this liability in its books ?

IBNR

Re-insurance liability

External liability

Estimated liability

New Business liability

✗

WRONG ANSWER

CORRET ANSWER:

IBNR

Explanation:

Every insurer will have claims that, for some reason or other, have not yet been reported and the insurer does not know about them. The term for this is IBNR i.e. these are claims that have been Incurred But Not Reported.

Q 2. What can be done by an endorsement on the policy or by a separate duly stamped deed?

Election

Assignment

Selection

Nomination

Justification

✗ UnAttempted

CORRECT ANSWER:

Assignment

Explanation:

Assignment is transfer of property. It can be effected by an endorsement on the back of the policy or on a separate stamp deed.

Q 3. Under which method General Insurers can prepare cash flow statements?

Direct

Accrual

Inclusive

Receipts

Mercantile

✗ UnAttempted

CORRECT ANSWER:

Direct

Explanation:

Items such as the Balance Sheet, Receipts and Payments Account [Cash Flow Statement] and Profit & Loss Account etc. will be in line with the Accounting Standards (AS) issued by the ICAI to the extent applicable to insurers carrying on general insurance business with 3 exceptions. The 3 exceptions are:

- Cash Flow Statement to be prepared only under Direct Method
- Accounting for Investments is not applicable
- Segment Reporting applies to all insurers

Q 4. What is not included in the UN Security Council Resolution 1373 of 2001?

Giving prior notice to such persons/entities before freezing

The Nodal Officer IS(I) to forward the list to insurers for freezing policies.

MHA to examine request from other countries and forward, along with their comments, such request to the Nodal Officer for IS (I) Division for freezing funds/assets

Freezing the funds and assets of persons who commit or attempt to commit terrorists acts
Freezing funds and assets of persons acting on behalf of or under instructions of persons who have or are likely to commit terrorists acts

 UnAttempted

CORRECT ANSWER:

Giving prior notice to such persons/entities before freezing

Explanation:

U.N. Security Council Resolution 1373 obligates countries to freeze without delay the funds or other assets of persons who commit, or attempt to commit, terrorist acts or participate in or facilitate the commission of terrorist acts; of entities controlled directly or indirectly by such persons; and of persons and entities acting on behalf of, or at the direction of such persons and entities, including funds or other assets derived or generated from property owned or controlled, directly or indirectly, by such persons and associated persons and entities.

The freezing orders shall take place without prior notice to the designated persons involved.

Q 5. What is the limit for Insurance agents to procure business from a single client in any business year?

No Limit
25%
30%
40%
50%

 UnAttempted

CORRECT ANSWER:

No Limit

Explanation:

There are no provisions or limits for Ceiling on business from single client for individual agents.

Q 6. Identify from the following, the prime function of insurance repository.

The objective of creating an insurance repository is to provide policy holders a facility to keep insurance policies in electronic form.

Insurance Repository is broker wise business data of all insurance policies issued by the service provider

An insurance repository is formed to keep data of all claims made, accepted, settles and rejected by insurance service provider

An insurance repository is formed to keep data of all premiums collected and the provisions made for claims against such premiums at any point of time

None of above

 UnAttempted

CORRECT ANSWER:

The objective of creating an insurance repository is to provide policy holders a facility to keep insurance policies in electronic form.

Explanation:

The Authority has developed the new Integrated Grievance Management System (IGMS) which will not only facilitate the policyholder to register/track their complaint online with insurance companies but also facilitate IRDA for monitoring the grievance redressal procedure established in the insurance industry.

The system involves mirroring of the grievance database of insurers in a central repository created for the said purpose.

Q 7. How you consider the “Hawala” system of money transfer?

An investment
Sale of capital asset
A banking transaction

A money laundering transaction
A legitimate financial transaction

 UnAttempted

CORRECT ANSWER:

A money laundering transaction

Explanation:

Some countries have well-established, alternative banking systems that allow for undocumented deposits, withdrawals and transfers. These are trust-based systems with ancient roots that leave no paper trail and operate outside the control of government.

Examples include the “Hawala” system in India.

Q 8. Highlight the major change brought about by the establishment of Bombay Mutual Life Assurance Society in 1871.

After the establishment of Bombay Mutual Life Assurance Society in 1871, life insurance by British was made at 50% discount for persons aged 40 and above.

After the establishment of Bombay Mutual Life Assurance Society in 1871, the Indians were to pay 20% extra premium as compared to British.

After the establishment of Bombay Mutual Life Assurance Society in 1871, the British put by an unlimited life cover from the Bombay Life Assurance Society

After the establishment Bombay Life Assurance Society in 1871, 20% extra premium paid by the Indians vis-à-vis the British was waived.

After the establishment of Bombay Mutual Life Assurance Society in 1871, the Indians could buy insurance from the British companies.

 UnAttempted

CORRECT ANSWER:

After the establishment Bombay Life Assurance Society in 1871, 20% extra premium paid by the Indians vis-à-vis the British was waived.

Explanation:

Till the establishment of the Bombay Mutual Life Assurance Society in 1871, Indians were charged an extra premium of up to 20% as compared to the British. This was waived after the establishment of the Bombay Mutual Life Assurance Society in 1871.

Q 9. Identify from the following, the valid reason for an insurer to decline any transfer or assignment or endorsement of an insurance policy.

If the insurer is not satisfied that the assignment is bonafide

If the sum assured is very large

It is not in public interest

It is not in interest of policy holder

It is for the purpose of trading of insurance policy

 UnAttempted

CORRECT ANSWER:

If the insurer is not satisfied that the assignment is bonafide

Explanation:

If the insurer is not satisfied that the assignment is bonafide, there would be an option to decline to register the assignment or transfer upon reasons in writing to be communicated to the policyholder.

Q 10. _____ can be appointed in case a nominee is a minor.

Representative

Legal Heir

Guardian

Appointee
Minor cannot be appointed as nominee

☐ UnAttempted

CORRECT ANSWER:

Appointee

Explanation:

Nomination can be in favour of a minor, in which case, the life assured can appoint an appointee to receive policy moneys on behalf of the minor nominees in case of death of the life assured during the minority of the nominee and before the date of maturity.

- Q 11. Dharmesh wants to appeal against the order of District Forum with regards to claim of Rs. 30,000 awarded to him. What is the amount of deposit required for him to appeal?
- Rs. 5,000
 - Rs. 15,000
 - Rs. 20,000
 - Rs. 25,000
 - Rs. 40,000

☐ UnAttempted

CORRECT ANSWER:

Rs. 15,000

Explanation:

Appeal can be made against the order of the District Forum within a period of 30 days and subject to deposit of 50% of the amount awarded or Rs. 25,000, whichever is less.

Here the answer is Rs. 15000 (50% of Rs, 30000) which is less than Rs.25000/-

- Q 12. The contract between the insured and the insurer is a promise of _____ in event of a loss.

Empathy
Condolence
Indemnification
Replacement
Gratification

☐ UnAttempted

CORRECT ANSWER:

Indemnification

Explanation:

The contract between the insured and the insurer, in essence, is a promise of indemnification (reimbursement for the loss) in the event of a loss.

- Q 13. What is the requirement for laundering money successfully?

Disclose source of funds
An honest and vigilant banker
File income tax returns
Indulge in acts which draw attention
Connivance of banking/insurer officer concerned

☐ UnAttempted

CORRECT ANSWER:

Connivance of banking/insurer officer concerned

Explanation:

Money laundering is not an ordinary problem. It is global and the persons behind these transactions appear to be using different channels with ease for fund transmissions and for creating a 'legal front' for money raised through illegal methods.

Q 14. In calculating large claim reserves, _____ is not part of 2nd step.

- Bringing the data together
- Review and refine the data
- Construct auditable reserves
- Break down the data into practical sub-classes
- Asking the insured to take preventive measures

UnAttempted

CORRECT ANSWER:

Asking the insured to take preventive measures

Explanation:

Larger and more complex claims will be controlled by a more experienced handler and by gauging the claims circumstances and using their own experience; they should be able to make a subjective judgement on the estimate.

The next step is for the claims professionals and actuaries to:

- bring the data together
- break it down into practical sub-classes
- review and refine it
- build in provisions for IBNR
- construct auditable reserves

Q 15. Under Ayush, an insurer may provide coverage for _____ of alternate medicine.

- All systems
- Only one system
- One or more systems
- Allopathic treatment only
- Any combination of 2 systems

UnAttempted

CORRECT ANSWER:

All systems

Explanation:

AYUSH stands for Ayurveda, Yoga, Unani, Siddha and Homeopathy. Under the AYUSH the person can get cover for any of these treatments which are the alternates of allopathic sciences.

Q 16. Which of the following is IRDAI's jurisdiction?

- Inter-national
- The State of Maharashtra
- National
- New Delhi
- Mumbai

UnAttempted

CORRECT ANSWER:

National

Explanation:

IRDA is the regulator of insurance business in India. It is a national agency of the Government of India formed by an Act of Parliament known as the IRDA Act 1999.

Q 17. Fill in the gap with correct option. IAIS enables exchange of information between different _____ and makes it essential for supervisors to maintain due confidentiality about such shared information.

Division

Sectors
Nations
Areas
Industries

☐ UnAttempted

CORRECT ANSWER:

Nations

Explanation:

International Association of Insurance Supervisors (IAIS) is a full time body working for the better regulation and development of insurance. IAIS has developed core insurance principles relevant to contemporary markets and provided a forum of interaction among the insurance supervisors and professionals all over the world.

Q 18. Mr. X has purchased an ULIP which offers a Life cover of Rs. 5 lacs. The annual premium for the policy is Rs. 50000 and life cover and other charges are 20% of premium in the 1st year. Balance 80% is invested in units at offer price Rs. 10. After 1 year the NAV has become Rs. 12. Study the above scenario and select the correct option from the following.

Mr. X has gained Rs. 4000/-
Mr. X has lost Rs. 4000/-
Mr. X has lost Rs. 8000/-
Mr. X has gained Rs. 8000/-
Mr. X has gained Rs. 10000/-

☐ UnAttempted

CORRECT ANSWER:

Mr. X has gained Rs. 8000/-

Explanation:

Investment Amount is 80% of Rs.50000 which is Rs, 40000/-

This amount is invested at NAV of Rs.10.

Therefore Mr. X will be allotted 4000 units (Rs.40000/Rs.10)

The returns that Mr.X will earn are tied to the NAV of the fund.

As the NAV of the fund has increased by Rs.2 (become Rs. 12),

Mr. X will gain Rs. 8000 (Rs.2 x 4000 units).

Q 19. Karan wants to appeal before the Supreme Court against the order passed by National Commission to ward him Rs. 90,000 with regards to a case filed by him. The deposit amount he shall have to maintain in this case is _____.

Rs. 45,000
Rs. 60,000
Rs. 50,000
Rs. 40,000
Rs. 90,000

☐ UnAttempted

CORRECT ANSWER:

Rs. 45,000

Explanation:

Rule for appeal before the Supreme Court (Section 23):

- Against the order of the National Commission – Appeal period 30 days
- subject to deposit of 50% of the amount awarded or Rs 50,000, whichever is less

In the above example, the deposit amount will be Rs. 45000 (50% of Rs. 90000)

Q 20. Why under-reserving is not desirable?

Because it would be illegal
Because the funds may be parked in junk bonds
Because cash surplus would encourage extravagant spending
Because employees can be given unrealistic salaries/benefits from the excess liquidity
Because it will effect company's liquidity and consequently, credibility, in case of sudden surge in claims and/ or a huge claim at a time of low liquidity

☐ UnAttempted

CORRECT ANSWER:

Because it will effect company's liquidity and consequently, credibility, in case of sudden surge in claims and/ or a huge claim at a time of low liquidity

Explanation:

Under-reserving is where an insurer may take in an over-optimistic view of future claim payments. Initially it will boost profits and seem like the underwriting strategy and pricing is correct; however, over time there will be difficulty in paying claims and the insurer will have to call upon shareholders' funds (sometimes known as free reserves) reducing its solvency.

Q 21. IRDAI would _____ Jeevan Akshay, Jevan Dhara and Jeevan Suraksha, had it been in existence when they were launched.

Have approved
Not have approved
Have endorsed
Have promoted
Have been very happy

☐ UnAttempted

CORRECT ANSWER:

Not have approved

Explanation:

Jeevan Dhara, Jeevan Suraksha and Jeevan Akshay were launched in the 1980s and 90s with assured returns of 11-12%, but with the drop in interest rates, the actual yield on investments is much lesser than what investors have been earning.

A senior Insurance Regulatory and Development Authority (IRDA) official said the regulator would not have approved these LIC schemes had it been in existence when they were launched.

Q 22. Which is not a valid document for the purpose of KYC, in the case of contracts with companies?

Unaudited balance sheet
Certificate of incorporation
Resolution of Board of Director
Memorandum and Article of Associations
Power of attorney granted to a manager to transact business on its behalf

☐ UnAttempted

CORRECT ANSWER:

Unaudited balance sheet

Explanation:

In addition to KYC documents of the Directors of the company, the following documents should be obtained for contracts with companies:

1. Certificate of Incorporation
2. Certificate of Commencement of Business (in case of Public Ltd Co.)
3. Memorandum & Articles of Association duly certified by a Director/Secretary as true copy.
4. A copy of the latest Audited Balance Sheet & Profit and Loss Account in case of Public Ltd. Company.

5. A resolution from the Board of Directors and power of attorney granted to its managers, officers or employees to transact on behalf. and
6. An officially valid document in respect of managers, officers or employees holding an attorney to transact on its behalf

Q 23. A complaint can be made to the appropriate forum in writing within _____ from the date on which the cause of action arose, as per the Consumer Protection Act, 1986.

6 months
18 months
1 Year
2 Years
3 Years

☐ UnAttempted

CORRECT ANSWER:

2 Years

Explanation:

As per the Consumer Protection Act, 1986, a complaint can be made to the appropriate Forum in writing within two years from the date on which the cause of action arose.

x`

Q 24. Money laundering is not an ordinary problem but a _____ phenomenon.

National
Extinct
Global
Local
21st century

☐ UnAttempted

CORRECT ANSWER:

Global

Explanation:

Money laundering is the act of changing the appearance of money that comes from illegitimate sources so that it appears to be legitimate money.

Money laundering is not an ordinary problem. It is global and the persons behind these transactions appear to be using different channels with ease for fund transmissions and for creating a 'legal front' for money raised through illegal methods.

Q 25. Dhiraj has an operation planned in next month for which he gets the pre-authorization issued as he has a cashless facility policy from insurer ABC. However, before the final settlement with the hospital it is proposed to be removed from the list of Network Providers of ABC. What is the role of insurer ABC in this case?

It will ask the hospital to forgo the payment

It will ask Dhiraj to bear the entire cost

It will provide the cashless facility as if hospital is still a Network Provider

It will ask Dhiraj to pay first and file a claim for reimbursement

It will settle with the hospital the amount as incurred till the date it was proposed to be removed

☐ UnAttempted

CORRECT ANSWER:

It will provide the cashless facility as if hospital is still a Network Provider

Q 26. Complete the following statement with appropriate option: General and health insurers shall extend cashless facility to all policy holders for treatment at _____.

Specified Hospitals

Specialty Hospitals Only

Government Hospitals Only

All Hospitals

Hospitals of the Policy Holder's Choice

❌ UnAttempted

CORRECT ANSWER:

Specified Hospitals

Explanation:

General and health Insurers shall ensure that all network provider hospitals extend cashless facility for any treatment to the policyholder in accordance with agreed provisions of SLA and terms and conditions of the policy contract.

Q 27. How the valuation of investments is done?

- At cost
- At market value
- As per the prescribed procedure
- At cost or market value, whichever is higher
- At cost or market value, whichever is lower

❌ UnAttempted

CORRECT ANSWER:

As per the prescribed procedure

Explanation:

Valuation is the analytical process of determining the current (or projected) worth of an asset or a company. There are many techniques used for doing a valuation.

An analyst placing a value on a company looks at the business's management, the composition of its capital structure, the prospect of future earnings, and the market value of its assets, among other metrics.

Q 28. Which of the following is not included in Money Laundering?

- Erasing any writing on the currency note
- Turning illegitimate money into legitimate
- Concealing the origin and true ownership of the money
- Helps criminals to expand their activities
- Money to be laundered in usually obtained through criminal means

❌ UnAttempted

CORRECT ANSWER:

Erasing any writing on the currency note

Explanation:

- Money laundering is the act of changing the appearance of money that comes from illegitimate sources so that it appears to be legitimate money.
- Money laundering is the term used to describe the process of turning dirty money into clean money.
- It is the process by which criminals attempt to conceal the true origin and ownership of the proceeds of criminal activities, by changing the form, or moving the funds to a place where they are less likely to attract attention.
- In the process, money can lose its criminal identity and appear legitimate

Q 29. Which of the following is not compulsorily covered by Motor Vehicle Insurance?

- Damage to 3rd party vehicle
- Death of 3rd party
- Damage to own vehicle
- Injuries to paid driver
- Injuries to fare paying passengers

❌ UnAttempted

CORRECT ANSWER:

Damage to own vehicle

Explanation:

According to Motor Vehicles Act, 1988, no motor vehicles can be used in a public place unless there is in force in relation to that vehicle a policy of insurance issued by an authorized insurer.

This policy is required to cover the insured's liability in respect of death or bodily injury of certain persons (e.g. third parties, fare-paying passengers, paid drivers, etc) and damage to property of third parties.

Q 30. What are the minimum and maximum amounts for health cover for individuals under micro – insurance?

- 5000 and 1 lac
- 10000 and 1 lac
- 5000 and 50000
- No limit on either side
- 10000 and no upper limit

UnAttempted

CORRECT ANSWER:

No limit on either side

Explanation:

For micro-insurance products, life and non-life insurance, the minimum and maximum amounts of insurance, terms of the contracts etc. are to be specifically laid down.

Q 31. In order to carry out its duties and functions, IRDAI _____.

- Cannot levy any charges
- Can levy fees and other charges

Charge a retainer to every insurer registered with it
Ask for contributions from IAI
Gets a grant from the Governments, of the where it has its offices

UnAttempted

CORRECT ANSWER:

Can levy fees and other charges

Explanation:

Under Section 14 of the IRDA Act, 1999 IRDA can levy fees and other charges for carrying out the purposes of this Act.

Q 32. What was the purpose to create a competition amongst the 4 subsidiaries of the GIC?

- To keep the insurance premiums at the minimum through competition
- To render effective services in the field of general insurance in all parts of India
- To render effective services in the field of life insurance in all parts of India.
- To ensure that insurance agents do not violate professional ethics by disclosing the business of one entity into another
- To render effective services in the field of life and general insurance in all parts of India

UnAttempted

CORRECT ANSWER:

To render effective services in the field of general insurance in all parts of India

Explanation:

The main purpose to promote competition among 4 subsidiaries is that effective services in the field of general insurance are rendered by them in all parts of India.

Q 33. Identify the correct statement with regards to Ombudsman. 1. It deals with both life and general insurance 2. Individuals and companies can both approach Ombudsman in case of any dispute 3. It addresses grievances of both insurer and insured

- Only 1
- Only 2
- Only 3
- 1 and 3
- 2 and 3

 UnAttempted

CORRECT ANSWER:

Only 1

Explanation:

Insurance Ombudsman was created by the Government of India for quick disposal of grievances of the insured customers and to mitigate their problems involved in redressal of those grievances.

The governing body shall appoint one or more persons as ombudsman whose functions basically are redressal of grievances from the policyholders of both life insurance and general insurance business.

Firms and organizations cannot go to the Ombudsman.

Q 34. _____ is responsible to provide appropriate training to insurance agents before they are authorised to sell Unit Linked Insurance products.

- IRDA
- Life Insurance Companies
- Life Insurance Councils
- Insurance Institute of India
- Existing insurance agents

 UnAttempted

CORRECT ANSWER:

Life Insurance Companies

Explanation:

The Life Insurance Companies are required to provide separate training to all their insurance agents before the agents are authorised to sell ULIP products.

Q 35. Which of the below is an example of low risk customer ?

- Companies having close family shareholding or beneficial ownership
- Non Residents
- High Net worth individuals
- All of above
- None of above

 UnAttempted

CORRECT ANSWER:

None of above

Explanation:

Non-Residents, HNI, Companies having close family shareholdings are example of high risk customers.

Q 36. The Insurance Ombudsman can entertain complaints against the insurance company when the total amount of relief sought is less than _____ .

- Rs 1 crore
- Rs 50 lakhs
- Rs 20 lakhs
- Rs 10 lakhs
- Rs 1 lakh

⊘ UnAttempted

CORRECT ANSWER:

Rs 20 lakhs

Explanation:

One of the pre-requisite of lodging complaint in front of the Insurance Ombudsman is that the amount of relief sought must be less than Rs. 20 lakhs.

Q 37. On what basis is the Statement of Total Assets (General) Compliance report is submitted?

- On a quarterly basis
- On a half yearly basis
- On a monthly basis
- On a yearly basis
- As and when required

⊘ UnAttempted

CORRECT ANSWER:

On a quarterly basis

Explanation:

IRDA (Invstment) (Amendment) Regulations 2001 state that insurers have to submit their Statement of Total Assets compliance report on quarterly basis in Form 3 B.

Q 38. Which insurance does the 'Carriage of goods by sea' act provide for ?

- Packaging of cargo
- Carriage of branded merchandise
- Transit risks
- Cargo shipment
- Port expenses

⊘ UnAttempted

CORRECT ANSWER:

Cargo shipment

Explanation:

The Carriage of Goods by Sea Act, 1925 defines the responsibilities, liabilities, rights and immunities of a ship owner in respect of loss damage to cargo carried.

Q 39. In the purview of the insurance Ombudsman under 'Nature of complaints' , any partial or total reputation of claim is by _____ .

- the Agent
- the Proposer
- the Policy holder
- any aggrieved person who has bought an insurance policy
- the Insurer

⊘ UnAttempted

CORRECT ANSWER:

the Insurer

Explanation:

Insurer repudiation comes under Ombudsman's purview.

Q 40. How is the refund of premium paid to the insured ?

- Only in cash
- By Demand Draft
- By Pay Order
- By Pay cheque
- By Crossed cheque

🚫 UnAttempted

CORRECT ANSWER:

By Crossed cheque

Explanation:

Any refund of premium which may become due to an insured on account of the cancellation of a policy or alteration in its terms and conditions or otherwise shall be paid by the insurer directly to the insured by a crossed or order cheque or by postal money order.

Q 41. Insurer who bears the rates on the policy sticks to /refers to rates at the time of the

Agreement
Contract
Investigation
Assignment
Maturity

🚫 UnAttempted

CORRECT ANSWER:

Agreement

Explanation:

The Agreement confirms acceptability of terms.

Q 42. Which of the following statement is true ?

To increase the risk cover, the policy holder need to make premium payments in cash
Risk is covered only after receipt of premium unless paid in cash
Once the proposal is finalised, the insurer will be eligible for cover even if the premium is not received on time

Premium cannot be paid using credit or Debit cards
All of the above

🚫 UnAttempted

CORRECT ANSWER:

Risk is covered only after receipt of premium unless paid in cash

Explanation:

As per section 64 (5) B of the Insurance Act, the risk on part of the insurer shall begin only after it receives the premium.

Q 43. What is the purpose of nominations ?

To secure immediate payment of the policy sum assured by the insurer
Protection of interest of policy holders
Avoidance of risks
Damage caution
All of the above

🚫 UnAttempted

CORRECT ANSWER:

To secure immediate payment of the policy sum assured by the insurer

Explanation:

Nomination is an instrument, the insurance law created, to secure an immediate payment of the policy moneys by the insurer.

Q 44. 'DCB' means _____ .

Development Countrywide Bank
Development Credit Bank
District Co-operative banks

Directorate of Credit Business
Daily Cash Book

☐ UnAttempted

CORRECT ANSWER:

Development Credit Bank

Q 45. On which principle does the Public liability insurance act gives relief ?

No increment
No accident
No damage
No fault
No casualties

☐ UnAttempted

CORRECT ANSWER:

No fault

Explanation:

The Public liability insurance act gives relief on principles of no fault.

(Under common law compensation is required to be paid to the claimant only if fault or negligence of the wrong doer is found)

Q 46. From a Money Laundering (ML) perspective, _____ is the most vulnerable medium of transaction.

Pay Orders
Cheque transactions
Electronic fund transfers
Cash transactions
Demand Drafts

☐ UnAttempted

CORRECT ANSWER:

Electronic fund transfers

Explanation:

Electronic fund transfers are most vulnerable as huge chunk of fund can be transferred.

Q 47. Which of these is a function of the Executive Committee of the General Insurance Council ?

To advice and assist brokers doing general insurance business
To advice and assist general insurers
To audit general insurance companies
To underwrite general insurance business
All of the above

☐ UnAttempted

CORRECT ANSWER:

To advice and assist general insurers

Explanation:

Functions of the Executive Committee of the General Insurance Council includes
- To aid and advise insurers carrying on general insurance business, in the matter of setting up standards of conduct and sound practice and in the matter of rendering efficient service to holders of policies of general insurance.

Q 48. _____ is an objective of Redressal of Public Grievances rules.

Formation of GRA
Protection of consumers interest
Providing grievances to consumers
Aim at resolving complaints relating to the settlement of disputes
All of the above

⊘ UnAttempted

CORRECT ANSWER:

Aim at resolving complaints relating to the settlement of disputes

Explanation:

With an objective of providing a forum for resolving disputes from aggrieved insured public against the insurance companies, the Government of India framed the 'Redressal of Public Grievances Rules 1998'.

Q 49. In which industry should the person have an experience of not less than 15 years under IAT (Insurance Appellate Tribunal) ?

Aviation industry
IT industry
Telecom industry
Insurance industry
Law firm

⊘ UnAttempted

CORRECT ANSWER:

Insurance industry

Q 50. _____ of registration certificate is not covered under IRDAI Act.

Issuance
Inheritance
Modification
Renewal
Withdrawal

⊘ UnAttempted

CORRECT ANSWER:

Inheritance

Explanation:

IRDA covers issuance, renewal, withdrawal , suspension but not inheritance.

Out of 50 questions 1 wrong and 49 un attempted.